

GDP growth. This could be any combination of real plus the GDP deflator, which could be 6.5% plus 4%, or 7% plus 3.5%, or 6.5% and 4%," he says.

Gross tax collections are expected to grow by 11.5% to ₹38.3 lakh crore over the Revised Estimate of ₹34.4 lakh crore for this fiscal. This translates into a tax buoyancy of 1.10. Within the gross tax revenue, direct and indirect taxes are individually estimated to grow at 13.1% and 9.4%, respectively.

The Central Board of Direct Taxes (CBDT) as well as the Central Board of Indirect Taxes and Customs (CBIC) are confident that the tax collection targets are feasible and achievable.

"GST collections next fiscal are estimated at ₹10.68 lakh crore, which is an 11.6% growth compared to the Revised Estimate this fiscal. The tax buoyancy of GST revenue is around 1.1. So, that gives us confidence that we will be able to collect the GST revenue as per the target set for the next financial year," says Sanjay Kumar Agarwal, Chairman of the CBIC, adding that customs duty collections have been impacted by a contraction in merchandise imports as well as softer commodity prices this fiscal, and the growth has been kept modest for the next fiscal as well.

Nitin Gupta, Chairman of the CBDT, notes that the targets for direct tax collections for FY24 and FY25, too, are realistic and achievable. "Over the last few years, the department has made a lot of effort to develop confidence with the taxpayer and has also used technology to benefit the taxpayer through various services and initiatives. The taxpayer, too, is reciprocating, complying with tax laws, and paying taxes. This has resulted in not only an increase in tax collections but also in the wid-



"It's not fair to expect changes in tax rates too frequently. And there is merit, beauty, stability, and simplicity in stable tax rates"

SANJAY MALHOTRA
REVENUE SECRETARY



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TUHIN KANTA PANDEY
SECRETARY, DIPAM

ening of the taxpayer base." Direct tax collections are estimated to grow by 13% to ₹21.98 lakh crore next fiscal, which translates into a direct tax-to-GDP ratio of 6.7, up from 6.6 in FY24.

Revenue from disinvestment of government stake in public sector enterprises has been lower than anticipated at ₹30,000 crore this fiscal and is pegged at ₹50,000 crore for the next fiscal with many ongoing transactions such as the privatisation of IDBI Bank and Shipping Corporation of India yet to be completed. Of this target, asset monetisation is expected to fetch about ₹12,000 crore this fiscal and another ₹15,000 crore next fiscal.

However, Tuhin Kanta Pandey, Secretary, Department of Investment and Public Asset Management (DIPAM), underlines that disinvestment should not be seen as a cash cow for the government, and these numbers remain fluid. "We are in a space where value creation is very important. Disinvestment and dividends of CPSEs (central public sector enterprises) put together raised ₹93,000 crore in FY23. We have raised another ₹56,000 crore through this till now in FY24, and we will be close to ₹94,000 crore by the end of the fiscal. You cannot look at a single target in isolation," he points out. He adds that the government may be the majority shareholder in PSUs (public sector undertakings) but needs to keep in mind the interests of minority shareholders as well.

The size of the Budget has increased to ₹47.7 lakh crore in FY25 with an unprecedented ₹11.1 lakh crore allocated for capital expenditure. The scheme for providing financial assistance to the states for capital expenditure has been continued in FY25, with a total outlay of ₹1.3 lakh crore.